

Executive Briefing: Current Employee Retention Analysis

Strategy: High-Confidence Risk Filtering

Our predictive system is set to an ultra-strict standard to ensure **zero false alarms**. The system will *only* flag an employee as a flight risk if it achieves **85% or greater certainty** that they intend to leave. This ensures HR resources are not wasted on false positives. When a name is flagged, it represents a verified retention risk requiring immediate attention.

The 5 Core Findings from the Data

- **Sales Department Instability:** The Sales department is facing the highest internal turnover in the company, losing over **20% of its total workforce**. By comparison, the Research & Development (R&D) teams are highly stable.
- **Critical Role Bleed:** The attrition problem is heavily concentrated in a single position. **Sales Executives account for nearly half (45%) of all company resignations**. This specific group is experiencing unsustainable pressure or misalignment.
- **The Compensation Gap:** Salary is a primary driver for departures. Employees who choose to stay earn an average of **\$6,833 per month**, whereas those who resigned averaged **\$4,787 per month**. This \$2,000 gap indicates talent is leaving for better market rates.
- **Work-Life Balance Impact:** Severe burnout directly correlates with employee exits. Among staff who rated their work-life balance as "Poor," **nearly 1 out of 3 resigned**. Notably, improving balance to a fair, decent level **cuts this exit rate exactly in half**.
- **The 3-Year Tenure Wall:** Retained employees typically reach a stable career phase around Year 6. However, for those who resign, the median length of employment is **exactly 3 years**. This 36-month mark represents a critical milestone where employees actively reassess their future with the company.

Primary Triggers Driving Resignations

When analyzing employee profiles, the system identifies these **top 5 factors** as having the heaviest impact on an individual's decision to leave:

1. **Compensation Levels:** Feeling underpaid relative to the company average.
2. **Excessive Overtime:** Drowning in consistent, mandatory extra hours.
3. **Commute Distance:** The strain of a long, grueling daily drive to the office.
4. **Stagnant Career Progression:** Remaining in the exact same job title for multiple years without a promotion.
5. **Manager Continuity:** Long periods under the same direct supervisor without a change in environment or leadership style.

Immediate Action Items

1. **Prioritize High-Risk Alerts:** Treat any employee flagged by the 85% confidence filter as an immediate priority. Mandate direct proactive check-ins or stay-interviews for these individuals.
2. **Implement a 2.5-Year Intervention:** Do not wait for the 3-year tenure mark. Introduce automated milestone reviews at 24 to 30 months of employment to discuss long-term career paths, promotions, and compensation adjustment.
3. **Audit the Sales Executive Structure:** Partner with Sales leadership to address the \$2,000 compensation gap and establish strict boundaries on mandatory overtime to stabilize the department.